

Reviewing Performance & Implementing Change

Every question in this SAC is a version of one sentence: a KPI signals a problem, a strategy responds to it, stakeholders feel it, and the KPI is checked again. Say the KPI out loud in every answer.

1 Review performance KPIs expose where the business is underperforming.	2 Implement change Strategies, culture, and managing resistance (Side 2).	3 Review KPIs again Did the transformation work, or is more change needed?
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A The KPIs you are responding to

NAME ONE IN EVERY ANSWER

Number of sales

Net profit figures

Percentage of market share

Rate of productivity growth

Level of staff turnover

Rates of staff absenteeism

Level of wastage

Number of customer complaints

Number of workplace accidents

...plus any KPI named in the case study

Structure that scores: name the strategy → define it → link it to a **named KPI** → explain *how* it moves that KPI → apply it to the case study. A strategy floating free of a KPI is half an answer.

B Ten management strategies — and the KPIs they move

WEEK 6 · L1-L2

1 Staff training

PEOPLE

Improving employees' skills and knowledge so they perform their job more effectively and efficiently.

MOVES

wastage

complaints

accidents

turnover

sales

SUGGEST IF

staff skill level is a concern, staff are dissatisfied with training, or training would lift efficiency/effectiveness. **e.g.** train in machinery use → fewer faulty products and accidents.

2 Staff motivation

PEOPLE

The **desire or drive** of employees to achieve objectives — visible in their energy and commitment.

MOVES

productivity growth

turnover

absenteeism

SUGGEST IF

turnover, absenteeism or productivity are flagged. Strategies: **performance-related pay, career advancement, investment in training, support, sanction.**

3 Change in management styles / skills

PEOPLE

Style = the manager's behaviour and attitude towards employees (how they communicate, decide, direct). **Skill** = an ability that can be learnt and gained through experience and training.

MOVES

turnover

absenteeism

productivity growth

SUGGEST IF

employees say they are not consulted. **Autocratic** → **consultative/participative**, plus better communication and interpersonal skills; two-way input lifts how tasks are done.

4 Increased investment in technology

OPERATIONS

Machinery and equipment developed from the **application of scientific knowledge**.

MOVES

productivity growth

market share

wastage

accidents

SUGGEST IF

production is slow, wasteful or unsafe, or rivals are ahead. Expensive, but benefits usually outweigh costs — **e.g.** CAD cuts waste; online shopping wins share from rivals who lack it.

5 Improving quality in production

OPERATIONS

Working towards **optimising the production process**. Benefits: less wasted resources, higher productivity, less inspection/testing time, better products.

MOVES

wastage

complaints

sales

THE THREE

TQM — all members participate in ongoing improvement. **Quality control** — checks at stages of production against a standard. **Quality assurance** — external body audits and certifies, e.g. ISO 9001.

6 Cost cutting

FINANCE

Strategies that **reduce expenses to improve profitability**; savings may be passed to customers as lower prices.

MOVES

net profit

wastage

sales

HOW

JIT to cut storage costs · cheaper inputs · outsourcing at the same quantity and quality · redeploying resources · **redundancies**.

7 Initiating lean production techniques

OPERATIONS

A **continuous process of reducing waste and inefficiency** — removing everything that does not add value to the end product or service.

PULL

actual customer demand sets output → cuts **wastage**.

ONE-PIECE

speeds production → lifts **productivity growth**.

TAKT

optimises speed to produce on schedule → **sales, complaints**.

ZERO DEFECTS

avoids errors → **sales, net profit, wastage, complaints**.

8 Redeployment of resources

RESOURCES

Moving **natural, labour or capital** resources from one area of a business to another, making better use of available inputs.

MOVES

net profit

productivity growth

wastage

turnover

WHY

shift resources from underused areas to high demand; employees moved to where skills fit → job satisfaction up, turnover down; idle time cut and resources repurposed; opens **new markets and product offerings**.

9 Innovation

GROWTH

Seeking **new ideas** for products, services, processes or business models — or significantly improving existing ones — to gain a competitive advantage and grow.

MOVES

sales

market share

net profit

productivity growth

complaints

wastage

accidents

SUGGEST IF

the business needs to differentiate or pursue a **new opportunity** rather than merely fix a fault.

10 Global strategies — keep the three separate

GLOBAL

SOURCING

Global sourcing of inputs — obtaining raw materials and parts from suppliers **outside the home country**. Higher quality inputs → fewer **complaints**; cheaper inputs → **sales, market share, net profit**. Access to resources, technology and knowledge unavailable domestically.

OVERSEAS MFR

Overseas manufacture — **production of the good is located** in a different country to headquarters. Lower labour/production costs → **net profit**; countries specialising in an industry → quality up, **complaints** down.

OUTSOURCE

Global outsourcing — transferring **business functions** to external overseas businesses. Cuts costs and/or lifts quality → **net profit, sales, market share, productivity growth, complaints**.

Trap: sourcing buys *inputs*, overseas manufacture relocates *production* the business still owns, outsourcing hands a *function* to another business. Marks are lost every year on this.

DIAGNOSTIC SHORTCUTS — THE KPI IN THE CASE STUDY POINTS TO THE STRATEGY

Turnover · absenteeism up

staff motivation · change of management style · training · redeployment

Customer complaints up

quality · training · lean (takt, zero defects) · global sourcing of better inputs

Productivity growth low

technology · lean (one-piece flow) · training · motivation · consultative style

Net profit down

cost cutting · lean · global outsourcing or overseas manufacture · innovation

Wastage high

lean (pull, zero defects) · quality · technology · training · redeployment

Sales · market share down

innovation · quality · technology · global strategies · training in sales technique

Every strategy answer: define it · link it to a named KPI · explain the mechanism · apply it to the case study.

Side 1 of 2 · turn over for implementing & evaluating change

Implementing Change & Evaluating the Transformation

Culture and learning make change possible · stakeholders and resistance make it difficult · Lewin gives it a shape · KPIs tell you whether it worked.

C Developing a positive corporate culture

WEEK 7 · L1

Recruitment
Select for **fit with the desired culture**, not just skills — interviews and reference checks test values.

Training
Explicitly reinforces desired values (e.g. teamwork); **induction** includes a culture section.

Communication
Values reinforced via meetings, emails, newsletters and the website; **two-way**, so employees feel valued.

Policies
Mission and vision statements, a **code of conduct**, dress code — set standards of behaviour.

Rewards
Reward what you want repeated: team rewards → collaboration; rewarding ideas → innovation.

Rituals & celebrations
Team lunches build belonging; 'heroes' (employee of the month) model the values.

Changing management styles
Autocratic blocks contribution and breeds resentment; **consultative** empowers employees and widens the knowledge used in decisions.

D The learning organisation — Senge

WEEK 7 · L2

In rapid change only **flexible, adaptive and productive** businesses succeed, so they become learning organisations that facilitate members' ongoing growth. Five **disciplines** = practices to be studied and implemented.

I Personal mastery
A **mindset and spiritual attitude**, not a level of proficiency and not a status to reach — a lifelong discipline; high-mastery staff take initiative and learn faster.

II Mental models
Ingrained **assumptions and generalisations** shaping how we see and act — dangerous when incorrect or unexamined. Replace confrontation with inquiry and trust.

III Shared vision
A **common understanding of a desired future**, genuine and built from employees' own visions — not imposed. People then learn because they want to.

IV Team learning
Collaboration building the **team's** capacity — teams, not individuals, are the fundamental learning unit; supported by knowledge management.

V Systems thinking
See the business **as a whole** and the links between its parts — patterns, not isolated events. New machinery forces changes in HR training and finance.

E Effect of change on stakeholders

WEEK 8 · L1

STAKEHOLDER	POSITIVE	NEGATIVE
Owners	+ Better performance → higher return on investment, e.g. rising share price.	– Failure costs partners the business and shareholders their share value; dissenters sell.
Managers	+ Bonuses or performance-related pay; advancement in a restructure.	– Stress from delivering bad news and facing resistance; middle-management roles cut; replaced if it fails.
Employees	+ Advancement and new skills; if consulted, motivation rises.	– New skill demands feel threatening; changed hours, location or redundancy hit finances and wellbeing.
Customers	+ Better quality, lower prices, products that suit them better.	– Prices may rise, or the product changes in a way they don't support.
Suppliers	+ More inputs required → increased demand and sales.	– Fewer inputs, or a switch of supplier, cuts sales; new specs force costly adaptation.
Community	+ Expansion creates jobs and lifts local foot traffic.	– Closures cut local incomes and spending — devastating when a small town loses a major employer.

Framing line: change benefits the business overall but alters the status quo — managers must **minimise the negative impact**.

H Lewin's three-step change model — and closing the loop

WEEK 9 · L1–L2

STEP 1
Unfreezing
Create awareness that the **status quo** is **hindering** the business, since people naturally resist change. Old behaviours, processes and structures are examined to show why change is necessary. **Communication is critical:** the more employees grasp the logic, benefit and urgency, the more motivated they are to accept it.

STEP 2
Changing
The business **transitions into the new state** and the change becomes real. The **hardest step**, marked by uncertainty and fear. Employees learn new behaviours and processes, so **education, communication, support and time** are essential, alongside reminders of the reasons and benefits.

STEP 3
Refreezing
Reinforce and **solidify the new state as the norm** so people don't revert. Rewards and acknowledgement of individual effort make the new behaviour repeat. Some call refreezing outdated given constant change — but skipping it risks **"one step forward, two steps back"**.

THEN START AGAIN
Reviewing KPIs
The business **re-analyses the same KPIs** to judge whether the change succeeded or needs further modification — the final key knowledge point of Unit 4.
Louisa's Café, Coburg — sales down, complaints up, cause traced to coffee quality → new machine plus staff training, targets sales **+20%** and complaints **–50%** → after three months sales **+23%**, complaints **–55%**: change effective.